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OECD
ECONOMIC SURVEYS

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

GERMANY

ORGANISATION DE COOPÉRATION ET DE DÉVELOPPEMENT ÉCONOMIQUES

APRIL 1968

BASIC STATISTICS OF GERMANY (F.R.)

THE LAND

Area, 1966 (thousand km²)	249
Agricultural area, 1966 (thousand km²)	140
Forests, 1966 (thousand km²)	72

Major cities, June 1966

	Million inhabitants
Berlin (West)	2.2
Hamburg	1.9
Munich	1.2
Cologne	0.9
Essen	0.7
Dusseldorf	0.7
Frankfort	0.7
Dortmund	0.7

THE PEOPLE

Population 1966 (thousand)	59 638
No. of inhabitants per km²	240
Net natural increase in population (annual average 1964-1966)	384 000
per 1 000 inhabitants	6.5
Net immigration (annual average 1964-1966)	251 000
Labour force, total 1966	27 082 000
Labour force in industry, 1966	13 103 000

PRODUCTION

GNP 1966 (billions of DM)	480.7
GNP per head 1966 (US $)	2 015
Gross fixed investment (average 1964 1966):	
per cent of GNP	26
per head (US $)	495
Origin of GDP, 1966 (per cent):	
Agriculture, forestry, fishery	4
Industry (incl. construction)	52
Services	44
Home food production as a percentage of total food availability (agricultural year 1965-1966)	59

THE GOVERNMENT

Public consumption 1966 (per cent of GNP)	15.7
General government current revenue 1966 (per cent of GNP)	37
Public debt, 1966 (ratio to general government current revenue)	53

Composition of Federal Parliament

Christian Democrats	245 seats
Social Democrats	202 —
Free Democrats	49 —

Last election: 19th Septembre 1965.
Next election: 1969.

LIVING STANDARDS

Calories per head, per day 1965-1966	2 911
Average gross hourly earnings of male industrial workers, 1967 (DM)	4.99
No. of passenger cars in use, mid-1966 (per 1 000 inhabitants)	161
No. of telephones end 1965 (per 1 000 inhabitants)	148
No. of radio sets end 1966 (per 1 000 inhabitants)	306
No. of television sets end 1966 (per 1 000 inhabitants)	213
Public current expenditure on education per head, 1966 (US $)	51

FOREIGN TRADE

Exports:	
Exports of goods and services as per cent of GNP (average 1964-1966)	21
Main exports, 1967 (per cent of total merchandise exports):	
Products of agriculture, forestry and fishing	1
Basic materials and semi-finished goods	32
Manufactured foods and tobacco	2
Other consumer manufactures	10
Investment goods	53
Other exports	2
Total	100

Imports:	
Imports of goods and services as per cent of GNP (average 1964-1966)	20
Main imports, 1967 (per cent of total merchandise imports):	
Products of agriculture, forestry and fishing	19
Basic materials and semi-finished goods	39
Manufactured foods and tobacco	9
Other consumer manufactures	12
Investment goods	17
Other imports	5
Total	100

THE CURRENCY

Monetary unit: Deutsche Mark.

Currency units per US dollar 4.00

NOTE. Figures include the Saar and West Berlin.

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ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

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- *to achieve the highest sustainable economic growth and employment and a rising standard of living in Member countries, while maintaining financial stability, and thus to contribute to the development of the world economy;*
- *to contribute to sound economic expansion in Member as well as non-member countries in the process of economic development;*
- *to contribute to the expansion of world trade on a multilateral, non-discriminatory basis in accordance with international obligations.*

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The Socialist Federal Republic of Yugoslavia is associated in certain work of the OECD, particularly that of the Economic and Development Review Committee.

This document was approved
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INTRODUCTION

The recession which had developed in the latter part of 1966 as a result of policies designed to check the previous overheating, had been largely arrested by mid-1967. By the autumn the corrective action which the authorities had, progressively, been applying led to a revival of domestic demand. Output has been rising since then and the employment situation has improved, highly stable cost/price conditions have been maintained but small inroads have been made, as yet, into the very large surplus on the current balance of payments. The question is whether the recovery will prove strong enough significantly to reduce under-utilization of capacity in the current year, or whether it will lose strength as the direct impact of official stimulus diminishes.

The performance of economic policy in the period immediately preceding the downturn of the economy, and in the early phase of the recession, can now be assessed in the light of fuller information. In view of its relevance to problems of general and continuing interest in the context of the adjustment process, this is discussed in Part I of the present Survey. Part II considers the subsequent policy of demand reflation and the prospects for domestic demand and activity in the current year. Balance of payments developments and prospects are reviewed in Part III.

I POLICY OF DEMAND RESTRAINT AND RECESSION

There were two main reasons why the policies to restrain the course of demand in the years 1965-67 brought the economy into recession. First, the authorities failed to arrive at a suitable policy mix. During most of the period, monetary policy had to carry the whole burden of demand restraint and, to this end, was applied with a severity that led to a substantial fall in investment. Second, the problem of timing—often difficult to judge in such cases—was misjudged in the latter phase of the experience. Fiscal policy became restrictive at a time when monetary policy had already led to pronounced recessionary tendencies, and the general restriction of demand was reversed too late. With the inevitable

time-lag between policy action and impact this meant that the recessionary tendency persisted for roughly one year.

The downturn of the economy was led by business investment. Machinery and equipment expenditure lost strength during 1965, started falling in early 1966 and, by the first half of 1967, was going down at an annual rate of 20 per cent. Stock-building weakened for more than a year and then gave way to net destocking in the course of the second half of 1966. Construction activity, favoured by good weather in the first half of 1966, fell off in the second half of the year and declined steeply during the following half year. The foreign balance on goods and services improved strongly on a seasonally adjusted basis from late 1965 onwards and partly concealed the effect of the restrictive policies on output and activity. But by the autumn of 1966, with government consumption also declining, domestic demand as a whole was falling and the foreign balance was incapable of preventing a decline in output and activity. The foreign labour outflow started, unemployment and short-time working began to spread, and the wage rise slowed down under the influence of the weakening labour market. Although household savings bore part of the impact, private consumption stopped rising in the second half of 1966.

Monetary policy

The restrictive monetary policy dates back to the summer of 1964[1] when imbalances appeared to be developing. Prices began to rise faster than previously, and the current account of the balance of payments turned from surplus to deficit. Further tightening was effected in 1965 when, partly as a result of expansive fiscal policy, new inflationary developments were to be feared. This was followed up by important new measures of monetary restriction in the early summer of 1966 and active relaxation policy was postponed until the turn of the year.

Monetary policy turned out a far more effective instrument of demand restraint than in earlier post-war periods primarily because it coincided with rising balance of payments deficits and because special measures were adopted to ward off capital inflows from abroad. The precipitous decline in bank liquidity, which started in early 1964 and persisted until mid-1966, produced a degree of liquidity squeeze unkonwn since the early 'fifties.[2] Credit costs in the capital market were strongly affected by

1 The measures taken in recent years are described in earlier Surveys.

2 DM 10½ billion of bank liquidity was drained off during this period. The banks' position changed from one of excess net reserves corresponding to 6.5 per cent of deposits in January 1964 to one of borrowed net reserves equal to 0.7 per cent of deposits in June 1966. (Net reserves = money market investments at home and abroad less indebtedness to the Central Bank.)

large net sales of foreign-held bonds in response to the announcement in early 1964 of the withholding tax on non-residents, by the withdrawal of banks from the securities markets and by a confidence crisis on the part of the general public which, by the summer of 1966, brought bond yields to a post-war peak and virtually paralysed new issue activity. Rates on mortgages and non-negotiable promissory notes followed bond yields closely and money market rates rose steeply. The cost of short- and medium-term bank credit also seems to have risen substantially.[1] Monetary policy had strong effects on the supply, as well as the price, of bank credit. The expansion of bank credit started to slow down in the second half of 1965. From mid-1966 onwards, the commercial banks, the most severely affected by the liquidity drain, substantially cut back their short- and medium-term lending to enterprises.[2]

Another reason accounting for the strong impact monetary policy had during this period lies in the fact that, for a number of years, important sectors of the economy had become increasingly dependent on borrowing. In the enterprise sector, self-financing had fallen from one half of investment in the early 'fifties to only, a fifth by 1965.[3] A similar development took place in respect of the communes, which account for two thirds of total public investment.

Moreover, the investment boom which faced the monetary authorities seems to have been considerably less vigorous than those of earlier post-war years. In manufacturing, there was no strong incentive to extend capacity, for the business situation had not raised capacity utilization rates significantly and no big order backlogs had accumulated. This held true also for the building industry which, indeed, hardly shared at all in the upturn. The underlying trend in dwelling construction had weakened with the progressive disappearance of the housing shortage and less generous government aid.

Under these conditions monetary restraint is likely to influence investment activity relatively strongly. Its effects in Germany were intensified in May 1966 when, at a time when investment demand seems already to

1 Until April 1967 such rates were subject to a ceiling tied to Bank rate. But it was possible to raise them more sharply than Bank rate increases permitted because, in many cases, short- and medium-term credits had previously been supplied at preferential rates below the ceiling.

2 The fact that lending by other German banks and foreign banks continued to grow in the autumn suggests that the change reflected commercial bank lending policy rather than falling credit demand.

3 Undistributed profits, net of depreciation at replacement cost and taxes, in per cent of net investment in physical assets. The figures relate to the enterprise sector including the Federal railway and postal services which have run large deficits in recent years.

have been falling, bank rate was raised by one full percentage point with accompanying cuts of rediscount lines. The increase of Bank rate was considered partly as an adjustment of the rate to ruling market conditions. A second objective of the May measures was to check investment demand which was judged too high. The basis for the apparently widespread expectation of a reversal of restrictive monetary policy disappeared and the commercial banks reduced their lending from the summer on. These banks were at that time heavily dependent on the Central Bank.

Budget policy

The policy mix deteriorated in the election year 1965. At a time when monetary policy was seeking to restrain high and rising demand, taxes were cut and the increase of Federal spending was stepped up. The expansive impact of the changes in Federal revenue and expenditure in that year can be roughly estimated at 0.5 per cent of GNP, as against a contractive effect corresponding to 0.3 per cent of GNP in the preceding year.[1] In 1966, on the other hand, there was a relative tightening of budget policy when monetary policy had already had an important impact on home demand. The Federal budget stimulus was reduced to 0.3 per cent of GNP—a calendar year estimate which conceals a growing degree of budget restraint as the year went on. There was more than a 10 per cent reduction of new Federal orders for civil engineering works in the second half of 1966 as compared with a year earlier, and a 20 per cent fall in new building permits for other types of public building. Federal orders for civil engineering fell sharply again in the early months of 1967 in response to new restrictive spending directives laid down by the Federal government in the midst of the recession.[2] They were accom-

1 The budget impact has been estimated as follows. To the increase of real Federal domestic expenditure on goods and services and transfers to other government authorities has been added the effect of the budget changes on the purchasing power balance of the household sector. This effect was estimated by applying a multiplier of 1.27 to the sum of the change in real Federal domestic purchases of goods and services plus the change in net deflated Federal transfers to households minus the change in deflated taxes received from households. The multiplier used was derived from the marginal consumption and the import ratios of households prevailing in the period 1955-1965. For fuller discussion of the methods used see study by Professor B. Hansen accompanying the forthcoming report on fiscal policy by the OECD Group of Fiscal Experts.

2 These stipulated that spending by the Federal departments should be restricted to the amounts appropriated in the 1966 budget, or less where the 1967 budget proposal provided for lower amounts. Furthermore, certain types of spending were subjected to a second ceiling (corresponding to 75 per cent of the spending estimates provided in the 1967 budget proposal) and payments under any item in any month were not allowed to exceed one-twelfth of the annual total foressen for the item. Except for aboveground building financed out of the ordinary budget, the placing of new building orders required prior consent of the Minister of Finance and no contracts involving expenditure obligations in future budget years could be entered into without special permission.

panied by a DM 3.0 billion increase of taxation, (1.1 per cent of private consumption) suggesting that the Federal budget may have acted pro-cyclically well into 1967.[1]

This development of the Federal finances, inappropriate to a time when recessionary forces were in full swing, can be partly explained by two factors. First, prevailing public opinion in questions of budget policy was strongly in favour of a better balance between Federal receipts and expenditure. Second, the monetary authorities, who had importantly contributed to establish this opinion, agreed to facilitate the finance of new expansionary Federal measures only provided expenditure cuts or tax increases were effected so as to prevent a larger than estimated deficit in the regular Federal budget. It was not until the spring that these constraints on budget policy diminished. The measures adopted then and in the remainder of the year produced a clearly countercyclical effect of the Federal budget for 1967 as a whole. The expansive effect corresponded to about 0.8 per cent of GNP.

The Länder and communal government felt obliged to counter the shortfall in tax receipts by expenditure cuts. The cuts affected, in particular, their fixed investment which fell back by 10 per cent in 1967. Tight credit and capital market conditions had already arrested its growth in the course of 1966; at the peak of the squeeze, in mid-year, some public authorities were, apparently, unable to raise funds even at rates of 10 per cent or more. In the case of many communes the scope for resort to borrowing was restricted by the high levels of indebtedness already reached.[2]

The following may be the more important lessons brought out by the experience of demand management in Germany over the recent cycle:

Failure to achieve a proper policy mix entailed excessive reliance on monetary policy with substantial disturbing effects on the capital market. This was to be expected given the predominant role of the banks in that market. The strong increase in bond rate proved difficult, for psychological and institutional reasons, to reverse quickly when demand conditions changed.

1 Of this DM 0.5 billion was included in the September budget proposal of the former Government and another DM 1.9 billion in its November proposal. In January the present Government added a further DM 0.9 billion by reducing tax free allowances.

2 The communes have little tax revenue and are strongly dependent on transfers and contributions from the Federal and Länder governments for financing their investment. Their indebtedness is subject to ceilings which cannot easily be changed according to the needs of demand management policy. Thus the communes can only maintain or step up their investment in periods of cyclical slack and high indebtedness insofar as the necessary means are put at their disposal by superior governments.

The monetary authorities may have underestimated how effective a restraint monetary tightening could prove in a situation in which reliance on borrowing had considerably increased and the trend of private investment was not particularly strong.

The effectiveness of monetary restraint was enhanced by the special measures taken to discourage the inflow of foreign funds which, on previous occasions, had blunted the effects of monetary tightening.

Policy suffered from a lack of what has been called " fine tuning ". Fiscal policy was tightened only after monetary policy had done all that was required to offset the unfortunate effects of the pre-electoral budgetary expansion. There were delays before monetary restrictions were sufficiently relaxed.

The timely reversal of the restrictive measures was made more difficult by failure, in some quarters, to understand the role appropriate to the budget in a modern full-employment economy. The opinion in late 1966 that the budget ought to be more nearly balanced despite the fact that, by that time, it was clear that achievement of the government's economic aims required an unbalanced budget was clearly inimical to the achievement of an appropriate demand management policy. No doubt an important element behind this attitude lay in public reactions to the inappropriate effects of the expansionary 1965 budget. But the budget for the current year (see pages 14 and 15) suggest that this same attitude may still impose a constraint on appropriate countercyclical budgetary policy.

II POLICY OF DEMAND REFLATION AND RECOVERY

Towards the end of 1966 it became increasingly felt in policy-making circles that the stabilization policy had gone too far. The corrective action taken relied on both monetary and fiscal instruments, and thus represented a far better policy mix than during the restrictive policy phase. But for some time action was slow and hesitant with the result that the upturn of economic activity did not manifest itself clearly until the autumn of 1967. A major question, at the time of writing, is whether the forces underlying the recovery may lose part of their strength in the course of the year and whether additional policy stimulus will be required if the gap between capacity potential and output is to be reduced and a more reasonable external position established.

Monetary policy

Monetary conditions began to ease in the second half of 1966 when the automatic liquidity effects of the balance of payments surplus were allowed to operate. At the turn of the year the authorities started taking more positive measures of relaxation and this policy was vigorously pursued from the spring onward. It included the following measures:

Lowering of Bank rate in four successive steps (January-May) from 5 to 3 per cent, reduction of the Lombard rate from 6 ¼ to 3 ½ per cent and corresponding cuts of Bundesbank open market selling rates for money market paper.

Reduction of minimum reserve requirements in six steps (December-September) to the lowest level prevailing since 1948, releasing altogether about DM 6 billion of bank liquidity.

Widening the Bundesbank intervention limits in the foreign exchange market (July), in order to discourage money exports by the banks.

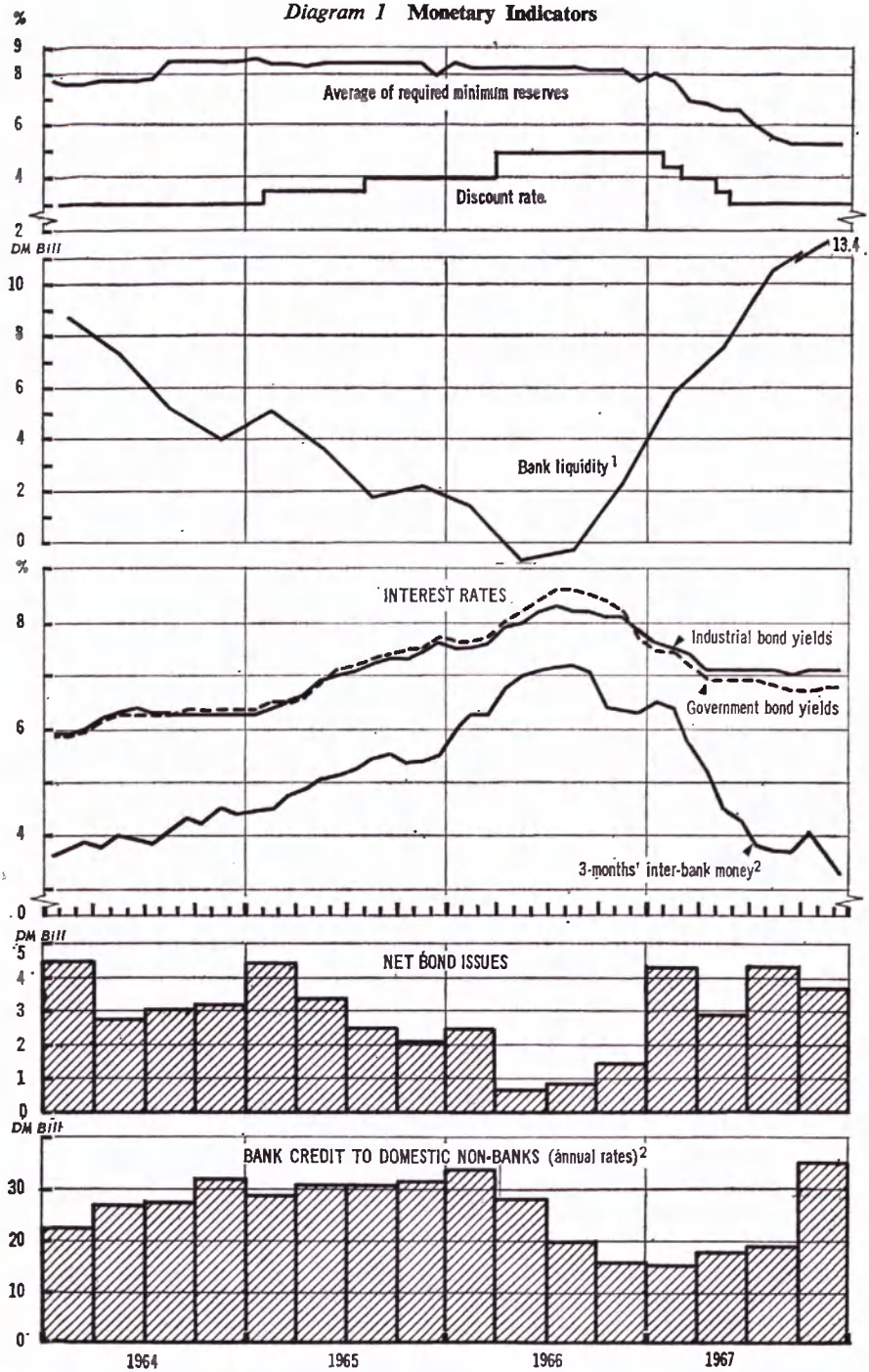
Large scale open market purchases of government bonds by the Bundesbank for its own account, starting in August and exceeding DM 1 billion by the end of the year.

Decision by the Bundesbank to treat, as money market paper, Kassenobligationen (medium-term notes of 4 year duration) of the Federal authorities the Länder, Railway and Postal Administration reaching maturity within 18 months.

These measures, supported by the growing balance of payments surplus, produced a high degree of monetary ease. The banks' net liquidity position had risen to 5 per cent of their deposits by the end of 1967 (0.4 per cent at the end of 1966). Money market rates and bank lending rates fell sharply, even though the banks invested much of their new liquidity abroad where earning opportunities were relatively attractive. But it is unlikely that easier credit conditions have had, as yet, much impact on economic activity, although they may have helped to improve business expectations. The expansion of credit to private non-banks remained weak during most of 1967. The strengthening in the later months was due to an upturn of activity influenced by a number of special factors, including the change to the value-added tax. Repayment by German enterprises of short-term foreign credits also inflated credit demands in these months.

The easy money policy entailed a marked improvement of capital market conditions. The recovery of bank purchases brought the bond rate down from a peak of 8.6 per cent (on outstanding government issues) in mid-1966 to just below 7 per cent in the spring of 1967. This trend was subsequently arrested by large net bond liquidations (DM 1 billion) by

Diagram 1 **Monetary Indicators**



1 Money market investments at home and abroad less recourse to Bundesbank credit.

2 Seasonnally ajusted.

Source: Monthly Report of Deutsche Bundesbank.

the social insurance funds and borrowing on the part of the Federal and Länder authorities. Moreover, the bond rate was affected by the rising trend of long-term interest rates abroad. The bond rate was prevented from rising by heavy Central Bank open market purchases. These were made on the Bank's own account and prompted by money market considerations. Institutional investors and private domestic savers raised their purchases little, foreign investors liquidated net DM 0.8 billion of German bonds. It was, thus, the credit institutions which contributed mainly to the revival of issue activity. They took up more than three-fourths of last year's new domestic issues, as against 30-40 per cent in previous years. Net issue activity roughly trebled from 1966 to 1967.

Table 1 **New Bond Market Issues**
DM billion

	1965	1966	1967
Net issues of domestic securities[1]	11.3	5.0	15.0
Federal authorities / Other public	2.8	0.6	4.9
Credit institutions	8.1	4.4	9.2
Other private	0.4	—	0.9
Net increase in domestic holdings of foreign bonds	0.4	0.5	0.5
Net bond purchases[2] by Central Bank	—	—	1.3
The credit institutions	3.2	1.5	11.6
Domestic non-banks	8.1	4.2	3.4
Foreign investors	0.1	–0.1	–0.8

1 Net of repayments and repurchases. At issue value.
2 Domestic bonds only in 1965.
Source: Annual Report of the Bundesbank 1965, Monthly report of the Bundesbank, February 1968.
NOTE Detail may not add due to rounding.

Budget policy

The fiscal stimulus adopted early in 1967 included favourable depreciation allowances for fixed investment undertaken before October and a DM 2.5 billion special Federal investment budget. Authorization for placing orders under the latter were given in three tranches, of which the last was in April. But about three fifths of actual orders were put out only in May and June, after deadlines had been announced in late April. The restrictive ceilings for spending out of the regular Federal budget were lifted in mid-April.

Since the economy remained sluggish, a second special investment programme of DM 5.3 billion was adopted in the autumn. The Länder

agreed to finance DM 2 billion of the total but some of them only by anticipating expenditure budgeted for 1968. The communes were to undertake DM 2 billion of the total investment planned in the programme, of which three-fourths would be financed by contributions from Federal and Länder governments. These contributions are in the form of cheap loans rather than direct grants, as in the first investment programme. This may increase the problem of assuring that they are used for additional investment. 13 per cent of the DM 5.3 billion programme is earmarked for interest subsidies and loans for construction and modernization of dwelling. In this second special budget deadlines for placing orders were announced immediately (mid-October except for housing, end-March 1968 for housing). By the end of the year about one half of the orders for housing and virtually all the non-housing orders had been placed. To remove the incentive to postpone stock building in anticipation of the shift from a general turnover tax to a value-added tax it was announced, in mid-September, that on average 85 per cent of the turnover tax paid on stocks carried into 1968 would be reimbursed.

Thus, with some delay expansionary measures were adopted during 1967. Their impact will, however, be partly offset by certain contractive measures decided in the regular Federal budget for 1968. A 3 per cent supplementary tax on personal and corporate income tax liability[1] was put into effect in January (addtional revenue in 1968: DM 0.7 billion). Employer and employee social security contributions were raised (DM 1.9 billion), compulsory old age insurance was extended (DM 0.6 billion), own contributions were introduced for old persons' sickness insurance (DM 0.5 billion), and tax preferences for certain credit institutions were reduced (DM 0.4 billion). Real consumer incomes have also been adversely affected by the shift from the cumulative turnover tax to a value — added tax in January. The shift was largely responsible for the jump of the cost-of-living index by 1.3 per cent in that month, reflecting a tendency for enterprises to pass the cost increases ensuing under the new regime on to the consumer to a larger extent than the resulting cost reductions.[2] This impact will be reinforced by the increase of the tax from 10 to 11 per cent in July (additional revenue in 1968: DM 1.1 billion).

A number of expenditure cuts which imply a reduction of actual spending in 1968 have also been adopted. The most important are in welfare, subsidies to agriculture and defense. All in all, the expenditure

1 Personal incomes below DM 16 020 (single) and DM 32 040 (married) are exempted.

2 The change in the cost structure will probably also disfavour private consumers. Taxation on services, which weigh heavily in consumer budgets, has increased considerably under the new regime.

Table 2 The Federal Budget on a National Accounts Basis

	1965	1966	1967[1]	1967[1]	1968[2]
	(incl. ERP and Equalisation of Burdens Fund)			(excl. ERP and Equalisation of Burdens Fund)	
Current revenue	63.4	67.0	68.4	65.5	69.1
Expenditure on goods and services	26.3	26.6	27.7	27.6	27.6
Current	23.0	23.2	24.2	24.1	24.0
Gross asset formation	3.3	3.4	3.5	3.5	3.6
Transfers	39.2	40.4	44.9	41.8	45.9
Current	31.7	33.2	36.2	34.5	37.3
Capital	7.6	7.3	8.7	7.3	8.6
Financial surplus (net lending) or deficit (net borrowing)	–2.1	0.1	–4.0	–3.9	–4.4
Internally effective financial surplus or deficit[3]	3.2	3.5	–0.1	–0.1	–0.1

1 Preliminary estimates of budget outcome.
2 Based on voted estimates.
3 Excludes purchases abroad and transfers and interest payments to abroad.
Source: Appendix Table F.

cuts and tax increases will reduce disposable income by some DM 4 billion (1.2 per cent) in the personal sector and by about DM 2 ½ billion in the business sector in 1968. Even including the second investment programme, which can be expected to have its main effect on real transactions in the current year, the balance of internally-effective transactions is expected to remain unchanged in the current year whereas last year there was a DM 3.6 billion swing from surplus to small deficit (Table 2). A rough estimate of the GNP impact of the 1968 budget, on the same basis, suggests a reduction of the stimulus to 0.2 per cent of GNP from 0.8 per cent last year.[1] It is interesting to note that in the absence of last year's tax increases, which partly prevented the automatic stabilisers of the budget from working, the expansionary budget impact would have been close to 1.5 per cent of GNP.

The 1968 Federal budget was devised primarily with a view to longer-term budget requirements, to which considerable importance is attached in Germany. It forms part of the first medium-term plan for the Federal finances prepared in response to the Stabilisation Law passed last summer.[2] The plan covers the five years 1967-1971, and aims at restraining the rise in Federal expenditure, other than debt repayments, to roughly

1 Based on data excluding the Equalisation of Burdens and ERP Funds.
2 The main provisions of the Law are discussed in last year's Survey.

the rate at which nominal GNP is rising during this period. Tax revenue would, with the tax increases effected during the past two years, increase faster than this.

The introduction of medium-term programmes for the Federal budget may mark an important step towards forward planning in the German economy. But if vital needs of the current situation have to be overridden in favour of longer-term considerations—and there are grounds for the view that a rather more expansionary budget would have been appropriate in Germany in 1968—such planning could constitute a serious obstacle to an appropriately flexible budget policy. While some balance between conjunctural and structural aims needs to be observed, care has to be taken that budgetary provisions which may prove appropriate at a more distant date do not unduly jeopardise achievement of high resource utilization.

Recent trends and prospects

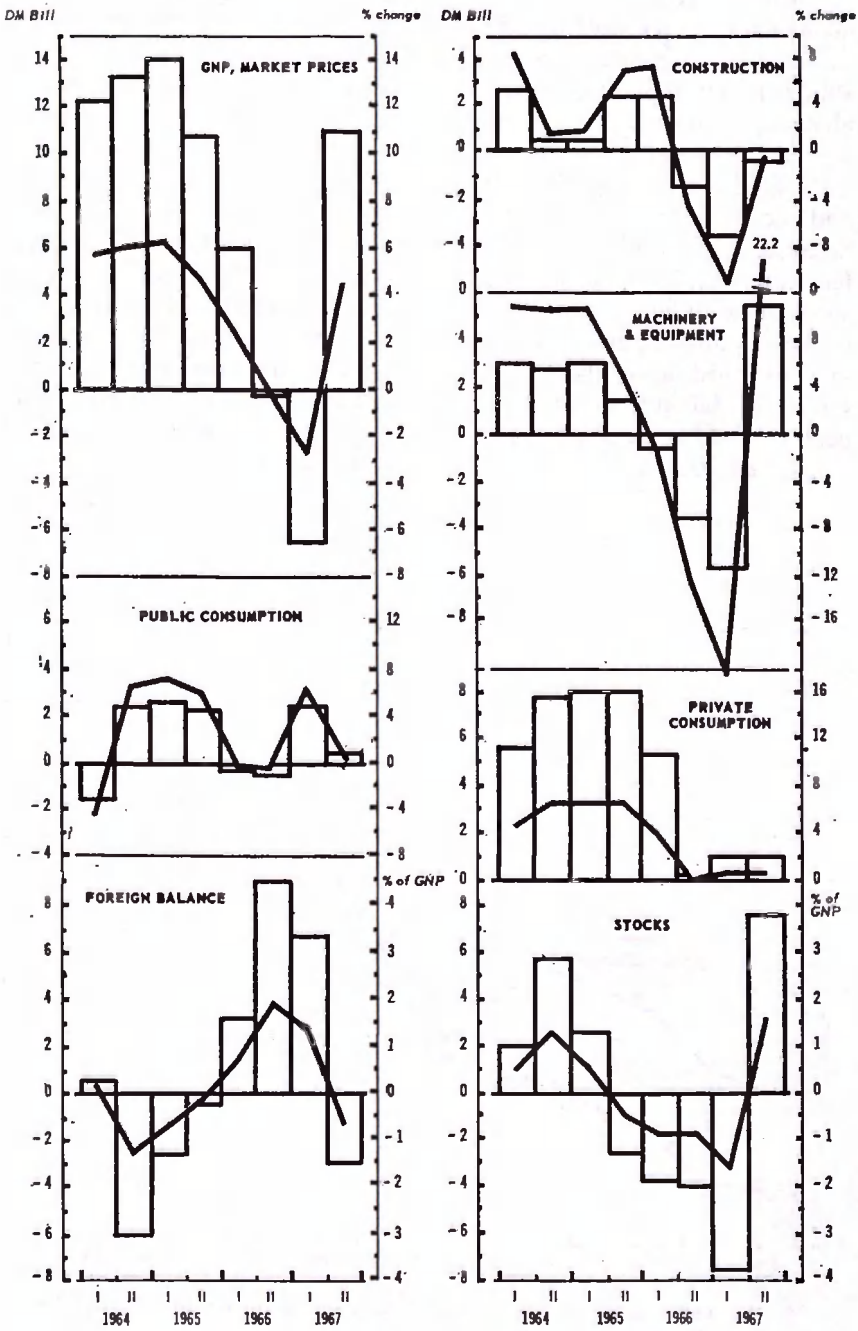
Between the first and second halves of 1967 GNP rose at a seasonally adjusted annual rate of 4 ½-5 per cent. The main factor in the upturn was a change from heavy decumulation to accumulation of stocks in the late months of the year. Public fixed investment rose, though not sufficiently to offset the decline of the first half of the year. Information on orders, imports and building permits point to an improvement of business investment in the later months of the year. The favourable temporary depreciation allowances and the shift to the value-added tax importantly contributed to this. The rise of public consumption slowed down and in private consumption the trend remained moderately upward. The surplus on the foreign balance declined in the later months of 1967 due to a resumption of the rise of imports.

Table 3 **Government Gross Fixed Investment**
DM billion, current prices

	1965	1966	1967
Total	19.3	20.0	18.9
Federal	3.1	3.2	3.6
Länder	3.7	3.8	3.5
Communes	12.3	12.9	11.6
Social insurance	0.2	0.2	0.2

Source: Jahreswirtschaftsbericht 1968, Ministry of Economics.

Diagram 2 **Change in Real National Expenditure**
Seasonaly adjusted, annual rates

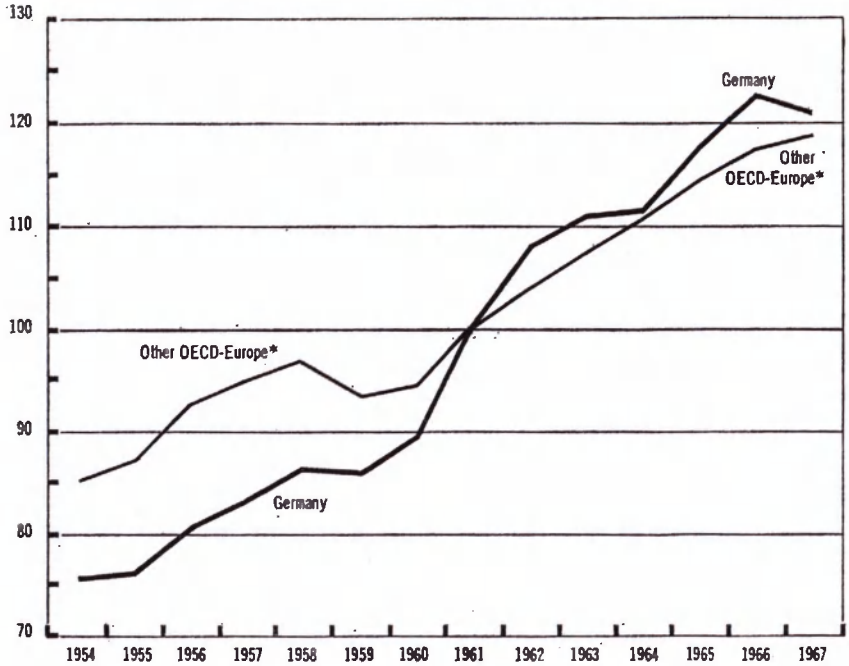


Source: Wirtschaft und Statistik with Secretariat seasonal adjustments.

NOTE The columns show changes in DM billion, at 1966 prices (left scale). The curves show changes in per cent (right scale).

The recovery of demand has brought a clear improvement in both manufacturing and building activity. The revival of new domestic orders in manufacturing was pronounced in the later months of last year, probably reflecting the second investment programme, the temporary favourable depreciation rules and a recovery of stock building. Production started increasing in the third quarter and the rise steepened towards the end of the year. Capacity utilization has probably improved somewhat and the tendency to lay off labour and reduce working hours has been arrested. The relationship between capacity utilization and hours worked has now been brought back to roughly that prevailing on the average in 1965 (but with both components at a much lower level). This has entailed an acceleration of productivity growth which, combined with a further marked slowdown of the wage rise, has raised profit margins considerably. Last year's fall in German unit labour costs relative to those of other European OECD countries offset most of the increase in relative German costs which had occurred over the two preceding years.

Diagram 3 **Unit Labour Costs in Manufacturing**
Indices, 1961 = 100



* Weighted average of EEC-countries, Scandinavian countries, UK and Austria.
Sources: Secretariat estimates.

In the building industry employment seems to have been rising slightly, on a seasonally adjusted basis, since last summer. Public orders increased sharply in the autumn, particularly for civil engineering works and the order position also improved in private commercial building. Orders and new commitments for mortgage finance point to a recovery of demand for new dwelling construction in the late autumn. Productivity gains in the building industry seem to have been substantial in recent months, and with wages declining, profit margins have risen steeply.

Table 4 **Capacity Utilisation, Productivity and Labour Costs in Manufacturing**
Percentage change from previous year

	1965	1966	1967 Year	1967 1st h.	1967 2nd h.
Capacity utilisation	—	–2.3	–7.8	–10.5	–5.3
Capacity utilisation per hour worked by all employees	–1.4	–0.4	0.3	–1.8	1.9
Output per hour worked by all employees	5.0	3.4	6.6	4.1	8.8
Earnings per hour worked by all employees	10.5	9.0	5.6	6.7	4.4
Wage costs per unit of putput	5.2	5.5	–1.0	2.5	–4.0
Hourly wage rates	7.0	7.5	5.3	6.1	4.3
Hourly wage earnings	9.4	7.4	3.7	4.8	2.8

Source: Appendix Table E and Ifo Institut.

There has been some improvement of the labour market situation. The number of registered unemployed, seasonally adjusted, fell from a recession peak of 610 000 in May to 330 000 (1.5 per cent of the dependent labour force) in February. In reported vacancies the trend has been upward, and short-time work has been virtually wiped out. The net outflow of foreign workers has largely come to an end and overall employment may have been rising slightly since the autumn.

The recent stronger trend in demand has not upset the very stable wage and price situation. There were virtually no negotiated wage increases in the private sector in the second half of 1967 (in the public sector a 3.5 per cent rise was accorded). Most contracts were either prolonged unchanged or with adjustments limited to the incorporation of existing fringe benefits into standards rates. The rise of hourly earnings slowed further and in the second half of 1967 average earnings of workers and salaried employees were only 2.3 per cent higher than a year earlier, with mining and building industries showing absolute declines.

Table 5 **Employment and Labour Market**

	1965	1966	1967 Year	1967 1st h.	1967 2nd h.
	Percentage change from previous year				
Total employment	0.6	–0.3	–2.9	–3.0	–2.8
German labour	–0.3	–0.8		–2.5	
Foreign labour	24.1	11.2		–14.3	
Manufacturing, employment	2.3	–0.5	–6.1	–6.1	–6.1
Hours worked	0.9	–2.9	–9.7	–10.6	–8.8
Building, employment	—	–1.4	–9.4	–12.4	–6.4
Hours worked	–3.7	–0.2	–11.4	–12.6	–10.2
	Thousand				
Unemployment, seasonally adjusted	147	161	460	486	525
Vacancies, seasonally adjusted	649	540	302	294	309
Short-time workers	—	21	143	233	52

Source: Annex Table C.

Table 6 **Prices**
Percentage change from previous year

	1965	1966	1967 Year	1967 1st h.	1967 2nd h.
Implied GDP deflator	3.7	3.7	0.7	1.5	—
The cost of living	3.4	3.5	1.4	1.8	1.0
Food, drinks, tobacco	3.8	2.8	—	0.3	–0.3
Other	3.0	4.1	2.6	2.9	2.1
Industrial producer prices					
Capital goods	3.0	2.0	–1.0	–0.3	–1.6
Consumer goods excl. food	2.3	2.5	–0.6	0.1	–1.3
Export prices of finished manufactures	2.4	2.1	0.1	0.7	–0.5
Capital goods	3.2	2.9	1.1	1.8	0.3
Building prices, dwellings	4.2	3.4	–2.2	–1.2	–3.1
Industrial building	3.9	2.7	–4.8	–3.7	–5.8
Federal road construction	–5.1	–2.3	–4.9	–4.3	–5.5

Source: Annex Table E.

The cost of living index was virtually stable in the later months of last year—in December it was only 0.4 per cent higher than twelve months previously. All the main components of the index, including rents, shared in this remarkable stability. The jump in the January index (1.3 per cent) was largely a response to the introduction of the value-added tax. Industrial producer prices have been running below the previous year's level since last spring. The decline of building costs has been particularly impressive—in civil engineering and industrial building it amounted to 5-6 per cent on a year-to-year basis last autumn. The implied price deflator for total GNP was no higher in the second half of 1967 than a year earlier.

The official growth target for the current year is to achieve a real GNP 4 per cent higher than last year's. The Government has stressed that the target does not represent the optimum combination of its main economic aims—price stability, high employment, a balanced external position and reasonable growth—but only a step towards it. Indeed, a 4 per cent growth would not allow much, if any, improvement of capacity utilisation or reduction of unemployment in the current year. The employment target implies an unemployment ratio of 1.2 per cent (of the dependent labour force) by the end of the year. This compares with a ratio of 1.5 per cent in February and a medium-term government aim, considered consistent with full employment under German conditions, of 0.8 per cent. Moreover, the growth target would leave little scope for stepping up the productivity advance which is assumed to be 4.2 per cent per hour worked as against 3.9 per cent last year and a medium-term aim of 4.5 per cent a year. The implied reduction of the labour input would take the form of a further small decline of working hours, a somewhat smaller foreign labour force than on the average last year, and a decline in labour force participation rates resulting from changes in the age structure of the population.

Realization of the target is expected to depend heavily on the extent to which the Länder and communes reverse the more cautious expenditure policies they pursued last year and on the strength of recovery in business investment. The Länder and communal authorities would need to raise their real fixed investment by rather more than 10 per cent, roughly the rate at which they cut it back last year. It is thought that this, together with a slight increase in dwelling construction and other private building, would make possible an increase of building activity of some 4 per cent in 1968. For business fixed investment a real increase of some 5 per cent has been assumed. Stock building activity is a third main element of uncertainty in the picture. A swing from decumulation to accumulation corresponding to 2 per cent of GNP has been assumed. The rise of government consumption will weaken further and it is expected that private

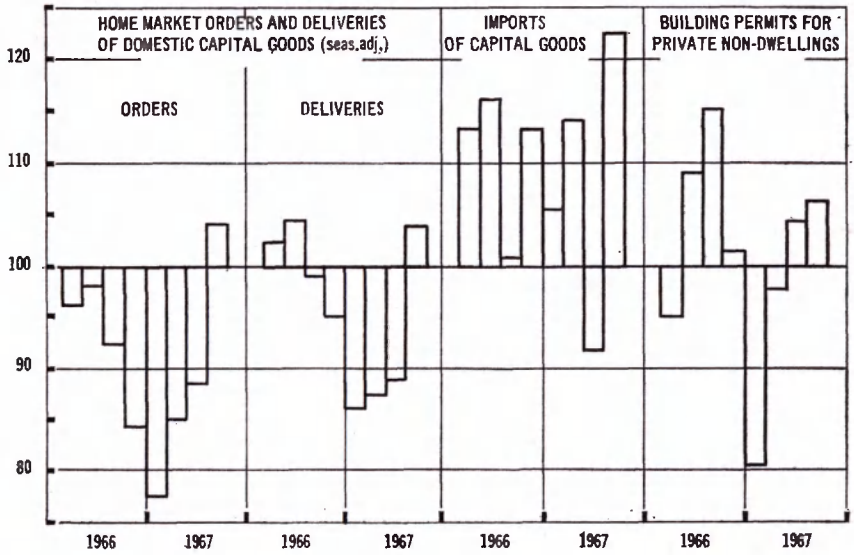
consumption will pick up only moderately. The trend of employment should be far less weak than last year but the rise in hourly earnings is not expected to be higher on average than in 1967. Furthermore, transfer incomes will expand much less and the price rise resulting from the value-added tax will restrict consumers' real spending power. It is also considered likely that households will raise their savings ratio somewhat. The foreign balance, which provided a strong net stimulus to economic activity last year, is expected to loose strength in the current year, as imports increase with more buoyant demand and activity.

The speed with which the recovery took place in the later months of 1967 has raised activity to a level from which quite a moderate further increase would assure that the 4 per cent target for 1968 as a whole is reached. Indeed, there are some grounds for expecting that real GNP may grow by a little more than 4 per cent on a year-to-year comparison. Some uncertainty may, however, attach to the outlook for the second half of the year. Most of the direct effect of the second investment budget will have spent itself by then. If the Länder and communes were to increase their investments—which is uncertain given the heavy indebtedness of many communes—the increase would probably be associated with the second investment budget and thus take place largely in the first half of the year. Consumer demand will be adversely affected by the fact that the value-added tax is due to be raised from 10 to 11 per cent at mid-year. Stock building may also provide less of a stimulus by that stage. Last year stocks were brought down to an extremely low level, partly in anticipation of the shift to the value-added tax. Removal of this disincentive could therefore be expected to lead to strong replenishment in the early months of 1968, but with demand becoming geared to more normal requirements later on.

A continued strong revival of activity after mid-year may, therefore, depend heavily on business investment, and it cannot automatically be assumed that it will expand sufficiently to maintain a high rate of growth of overall demand if the trends in other important expenditure components should weaken. Recent indicators of business investment are difficult to interpret since a number of temporary factors were operating in the late months of last year—particularly the favourable depreciation allowances in force up to end-October and influences connected with the change in indirect taxation. These partly explain the steep rise in imports, domestic deliveries and orders for capital goods in the fourth quarter and the subsequent weakening of some of these indicators. Permits for commercial building as well rose fast in October/November but fell back in December.

Capacity utilization is still relatively low in the main industrial sectors. Technological considerations should, however, prove a source of strength in business investment and there are no obstacles on the side of financing; business profit margins are improving strongly, internal cash flows are high and conditions for external finance easy. There are, thus, grounds for hoping that the improvement of the investment climate will continue. The December Ifo enquiry, puts investment intentions in industry at 5-7 per cent by value above last year's outlays —some 2 per cent higher than the September enquiry. Should the recovery turn out weak, it would be appropriate to provide new policy stimuli.

Diagram 4 **Indicators of Enterprises Fixed Investment**
Indice 1965 = 100



Source: Ifo Schnelldienst and Wirtschaft und Statistik.

It is clearly desirable, on internal as well as external grounds, that the optimum combination of the government's main economic aims should be achieved as soon as possible. If growth in the current year were not more than 4 per cent the margin of slack in the economy would roughly unchanged. The size of the slack is difficult to estimate with precision. The figures given in Table 7 show estimates obtained with different assumptions. GNP rose by 2.4 per cent in 1966 and fell by 0.2 per cent in 1967. Capacity may be assumed to grow at an annual

rate of 3.5-4 per cent.[1] The implication is that over the last two years, a gap between actual and potential output amounting to some 5 to 6 per cent of GNP may have developed. Some allowance should probably be made for the fact that 300 000 foreign workers (about 1 per cent of the labour force) have left the country. Moreover, it may not be desirable to return to the tight labour market conditions prevailing in 1965, when the unemployment ratio fell to 0.5 per cent. Nevertheless, even on cautious assumptions about the size of the present slack a 5 to 5.5 per cent growth rate would seem to be a prudent target. Given the likely decline in the current external surplus, domestic demand would need to expand at a rate some 1-1.5 per cent higher than this.

Table 7 **The Capacity Slack**

	Capacity growth 1966-1969					
	3 % p.a.			4 % p.a.		
	1967	1968	1969	1967	1968	1969
Capacity and GNP (indices 1965 = 100)						
Capacity	107.1	110.9	114.8	108.2	112.5	117.0
GNP, with 4 % p.a. 1968-69	102.2	106.3	110.5	102.2	106.3	110.5
with 5 ½ % p.a. 1968-69	102.2	107.8	113.7	102.2	107.8	113.7
Capacity slack (per cent)						
With 4 % p.a. GNP growth 1968-69	4.8	4.3	3.9	5.9	5.8	6.4
With 5 ½ % p.a. GNP growth 1968-69	4.8	2.9	1.0	5.9	4.4	2.9

From the point of view both of permitting real incomes to grow fast and of restoring a reasonable balance on external account, a recovery path that is temporarily above the target sustainable over the medium-term would seem to be appropriate. All longer-term growth considerations point in the same direction, because potential capacity growth would tend to be adversely affected if under-utilization of resources was prolonged. The cost/price situation is very stable and would seem unlikely seriously to be affected by some absorption of slack. Nor is the balance of payments

1 This seems to be the range of capacity growth assumed in the OECD mid-decade Review of Prospects, which estimates a rate of growth of GNP of 3.5 per cent a year for 1965-1970 and the 1967-68 Annual Report of the Council of Economic Experts (Sachverständigenrat) which puts the rate at 4 per cent for 1966-1971.

a limiting factor. Indeed fast growth is a condition for realising the Government's aim of reducing its external surplus on goods and services (see pages 28 and 29 below).

III THE BALANCE OF PAYMENTS

The recession led to a marked strengthening of Germany's external position. The current balance swung from a deficit of $ 1.6 billion in 1965 to a surplus of $ 1.2 billion in the second half of 1966 (seasonally adjusted annual rates). The surplus more than doubled in the first half of 1967 and fell only moderately in the second half. It can be expected to be high in the current year. During the restrictive phase of monetary policy there had also been a large net inflow of capital as German enterprises shifted to foreign borrowing in the face of rising costs and shrinking supply of domestic credits. As the demand for credit diminished because of the recession, and the supply of credit became ample and cheap because of the easing of monetary policy, a substantial net outflow of capital, long-term as well as short-term, started. This virtually offset last year's very large current account surplus.

Recent trends

By far the most important single factor in the strengthening of the current account was the decline of imports induced by the recession. Commercial imports fell at a seasonally adjusted annual rate of 5 per cent in the second half of 1966 and at twice that rate in the first half of 1967. Foreign suppliers of investment goods substantially reduced their prices relative to those charged by their German competitors and suffered smaller setback in deliveries than the latter. But in consumers' manufactured goods, foreign suppliers appear to have lost some ground in the German market over the past year. In the later months of 1967 imports turned up strongly, in response to the recovery of domestic demand and activity. Food imports, roughly stable in 1966, fell last year and government imports also declined.

The growth rate of exports dropped from 12½ per cent in 1966 to 8 per cent last year; a generally flat trend until the autumn was followed by a marked upturn thereafter. The export drive of German manufacturers remained intense in the face of shrinking market outlets at home, and their prices have been virtually stable or declining. But the gain of foreign market shares was less impressive than in 1966.

Table 8 **The Balance of Payments**
US $ million

	1965	1966	1967
Exports, fob	17 870	20 097	21 701
Imports, fob	16 630	17 215	16 505
Merchandise transactions abroad	38	50	93
Trade balance	1 278	2 932	5 289
Services, net	–1 290	–1 259	–1 328
Foreign travel	–642	–776	–661
Private transfers, net	–720	–832	–755
Foreign worker remittances	–548	–632	–544
Official transfers, net	–875	–734	–813
Current balance	–1 607	107	2 393
Long-term capital (excl. spec. transfers)	238	57	–855
Private	557	422	–526
Direct investment	577	542	271
Loans and credits	170	243	–281
Portfolio investment	–190	–363	–516
Official	–319	–365	–329
Basic balance	–1 369	164	1 538
Non-monetary short-term capital	474	385	–351
Private monetary institutions, short-term capital	–47	–97	–804
Errors and omissions	625	167	–257
Balance on official settlements	–317	619	126
Change in reserves (+ = increase)	–616	418	329
Gold	162	–118	–64

Source: Deutsche Bundesbank.

The deficit on other current transactions rose slightly. The weak trend of personal incomes entailed a fall in foreign travel expenditure, and foreign remittances also declined due to the foreign labour outflow and the slower wage rise. Freight expenditure increased despite falling imports because freight rates went up and trading routes lengthened due to the closure of the Suez Canal. The rise in official transfer payments reflected mainly payments to the EEC Agricultural Fund.

The swing of long-term capital, from a small surplus in 1966 to a $ 0.9 billion deficit in 1967, was entirely due to a change of private capital flows. The net inflow on direct investment account fell by one-half, probably influenced by the German conjuncture. On loans and credits there was a marked shift from net borrowing to net repayment in response to falling credit needs and easier credit conditions at home. The net outflow on portfolio account also rose, with higher German net purchases of foreign bonds and equities and fairly large foreign liquidation of German bonds.

The account on non-monetary short-term capital and unrecorded transactions swung from if net inflow of $ 0.6 billion in 1966 to a net outflow of the same order last year. German enterprises cut back their new short-term borrowing abroad and made large repayments. The change from inflow to outflow on unrecorded transactions probably largely reflected the growth of the trade surplus. There was also a very large net outflow of bank money, in response to the marked increase of bank liquidity and the relatively attractive earning opportunities offered by foreign money markets. With these large offsets to the current account surplus the balance on official settlements was only slightly positive. Official gold and foreign exchange reserves rose by $ 0.3 billion, less than in the previous year, and there was some further slight reduction of gold holdings.

Outlook for 1968

With the demand prospects discussed earlier and the devaluation of sterling and certain other foreign currencies, imports could rise fairly fast in the current year. The recovery of domestic demand is not likely to be strong enough to have a significant adverse effect on German export potential although improved market outlets at home could cause some manufacturers to shift from exports to domestic sales, notably in the steel industry. Costs in the export industries will probably continue highly stable and facilities for export finance are ample.[1] Demand for imports in Germany's main markets should strengthen somewhat this year. However, the devaluations may reduce the speed with which German exporters are increasing their market share. All in all, therefore, the growth of exports may slow down a little, with some reduction of the trade surplus.

The better business situation is also likely to raise somewhat the deficit on other current transactions. Foreign travel expenditure should stop falling, and might rise slightly in response to the moderate recovery in consumer incomes. Freight and insurance payments may not change much because the effect of higher commodity imports may be largely offset by lower freight rates. The US balance of payments measures could have some implications for receipts from foreign troops in the current year. Official transfer payments will again increase because of higher contributions to the EEC agricultural fund. Private transfer payments should not continue to decline given a more stable development of foreign

1 In January the Bundesbank increased credits made available to the Export Credit Company (the main institution for public export credit promotion) by an amount which permits the Company to expand loans to exporters by DM 0.7 billion, to a total of DM 2.5 billion. However, very limited resort is made to this type of export finance at present.

workers' remittances associated with the better employment prospects. Changes in commodity trade and invisible transactions are expected to reduce the current account surplus to some $ 1 ½ billion in 1968.

On long-term capital account, the official outflow is not expected to increase.[1] Several factors point to the likelihood that a substantial net outflow will continue on private account. First, the recent American measures affecting direct investment could have an impact of the order of $ 0.3 billion or more. Insofar as US companies in Europe seek to maintain the level of their direct investment by borrowing abroad, it is probably the German market to which they will turn, if German credit market conditions remain easy. There are reasons to expect this to be the case, since the continued upturn of the economy should not entail heavy domestic credit demand when cash flows are high and profits rising. Under such conditions, German enterprises may also continue paying off their long-term foreign credits and cover their new credit needs at home. There could well be another portfolio outflow due to transactions in fixed interest securities. The German monetary authorities are anxious to prevent a rise in German bond yields. Abroad, and notably in the Euro-bond market, the tendency towards rising rates could continue, particularly if the US measures were to lead to large borrowing by American companies. Foreign investment companies are pursuing a vigorous sales policy in the German market and German purchases of foreign equities will probably continue to grow. Foreign liquidation of German bonds may remain high but better business conditions in Germany may stimulate foreign investment in German equities.

It is difficult to estimate the possible magnitude of the total capital outflow resulting from the various changes on long- and short-term account. But the offset required to the current account surplus is a very large one —larger than the capital outflow, excluding special transactions, in any year other than 1967. The outflow in that year was inflated by exceptionally large exports of short-term bank money influenced by the marked increase of bank liquidity. The banks may not continue these at last year's high rate since credit demands at home should be more buoyant, the liquidity impact of the balance of payments will be smaller and the policy of monetary easing is not likely to be pursued as vigorously as last year.

The government's medium-term balance of payments aim is to achieve a surplus on goods and services, as recorded in the national accounts, no higher than 1 per cent of GNP by 1971. Last year the share was 3.4 per cent and the 1968 target implies a reduction to 2.7 per cent. It is

1 It was recently decided that development aid projects totalling DM 100 million would be abandoned for budgetary reasons.

highly improbable that the share can be reduced substantially in the three remaining years of the medium-term programme if a growth target for real GNP of 4 per cent a year were to be retained. Indeed, real GNP would need to expand at a rate of close to 5 per cent and domestic demand at close to 6 per cent a year in the period 1969-1971 if the balance of payments target were to be realised. An upward revision of the target is apparently being considered.

PROSPECTS AND POLICY CONCLUSIONS

A main concern of the authorities in the current year must be to make certain that the recovery of the economy continues strong. The later months of 1967 were already marked by a rising trend of industrial production, domestic industrial orders and deliveries, imports and building permits, by falling unemployment and short-time working, and by a more buoyant business outlook. The uncertainty resides in how far such trends can be sustained when the various temporary factors, largely policy determined, which strongly influenced the picture in those months, no longer apply. They have already partly ceased to operate and will entirely cease to provide a direct stimulus to growth around mid-year.

The outlook for the second half of the year depends heavily on the strength of the revival of business investment. Given the generally low capacity utilisation rates still prevailing in main industrial sectors, the incentive to invest may not be strong even though financial conditions are highly favourable. Should the revival of business investment turn out weak, realisation of even the official growth target for 1968—4 per cent increase of real GNP—would be jeopardized. Similarly, there must be some doubt as to whether expenditure by the Länder and communes will be as buoyant as assumed in the official target. Should either type of expenditure threaten to develop less strongly than assumed in the forecasts, additional expansionary measures would be essential if the target were to be achieved. Since the target was set with a view to preserving a high degree of cost/price stability, action designed to realise it should not be hampered by fears of inflation. Nor do balance of payments considerations constitute an obstacle, given the high current account surplus likely to prevail.

In considering the possible need for additional expansionary measures, the experience of demand management policy over the last cycle

in Germany will be very relevant. Two lessons in particular, which may prove applicable in 1968, can be drawn from the discussion of this experience contained in Part I of this Survey.

The first lesson concerns the need to ensure that policy changes are timely. This is not, of course, a problem unique to Germany. Failure to take appropriate action in an early stage has been costly in other countries as well. But it is relevant to this Survey to note that the German economic recession of 1966 and 1967 could have been avoided had moderate measures of restraint been taken early in 1965. It is of great importance to Germany and to the world economy that mistakes in timing should not be made in 1968. Under present circumstances there can be little risk that moderate expansionary measures would overshoot the mark and lead to inflation. Rather, should new expansionary measures be found necessary, it is important that they should be put into effect promptly, for in such a case delay would entail the risk of losing the momentum from the exceptional shift in inventories and the contingency budgets. The stimulative measures subsequently required to regain and sustain the momentum would then become far greater.

The second lesson is that the policy mix needs to be appropriate. In present conditions, when monetary policy is already very easy but the budget is providing less buoyancy than last year, any expansionary action would best rely on fiscal changes, since these are the more likely to produce a sufficient stimulus to demand. Nonetheless, it is clearly desirable that monetary conditions should be kept as easy as possible.

It is also important to consider how far, in present circumstances, the official growth target of 4 per cent in 1968 represents an adequate first step towards the Government's " optimum combination of economic aims ". A cautious estimate of the present slack in the economy suggests that a 5 to 5.5 per cent growth rate of GNP might constitute a reasonable interim target for the next couple of years. This need not necessitate any substantial revision of the cost/price target; higher wage rises could be expected to be offset to a large extent by the faster productivity growth resulting from fuller capacity utilisation. Moreover, the past year has seen experience gained in evolving an incomes policy. Further efforts in this field could help to secure a wage development roughly in line with reasonably stable costs and prices. Temporarily faster growth would greatly facilitate realisation of the balance of payments target, whereas with the cautious GNP target set for the present year, the current account is likely to remain in large surplus—perhaps too large to be compensated by a capital outflow. It may be noted that the Bundesbank is committed to substantial special investment abroad in 1968, which would reduce pressures on other countries' payments positions.

The official growth target for 1968 would secure a high degree of cost and price stability, but leave spare capacity, unemployment and the external surplus on current account well above the medium-term official aims. And from the international point of view it would also be appropriate for Germany, in the immediate future, to achieve a faster rate of growth. The actions taken or envisaged by the United States, the United Kingdom and certain other countries to correct their balance of payments deficits will, inevitably, exert some deflationary impact on the rest of the world. Action in a contrary direction by major industrialised countries in a strong external financial position would reduce the risk of such developments becoming cumulative, and provide an appropriate counterpart to the action which the debtor countries have to take to restore equilibrium in their international payments.

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STATISTICAL ANNEX

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Table A **Gross National Product**
DM billion

	Current prices				1954 prices			
	1964	1965	1966	1967	1964	1965	1966	1967
Expenditure								
Private consumption	232.9	255.1	274.9	281.4	187.5	199.1	206.5	207.7
Public consumption	61.7	69.6	75.4	80.3	42.6	45.5	46.0	47.5
Gross fixed asset formation	109.2	118.7	121.9	109.9	80.0	85.1	85.4	78.8
Construction	57.6	60.7	64.3	57.7	44.5	48.6	47.4	43.5
Machinery and equipment	51.6	58.0	57.6	52.2	35.5	36.5	38.0	35.4
Change in stocks	4.7	8.0	2.0	–4.0	4.4	7.3	1.8	–3.4
Exports of goods and services	83.5	91.1	103.0	110.7	77.3	82.8	92.1	100.6
Imports of goods and services	78.2	91.9	96.5	94.7	83.3	95.6	98.6	98.2
Gross national product at market prices	413.8	450.6	480.7	483.6	308.5	324.1	333.3	333.0
Origin								
Agriculture, forestry, fishing	20.5	20.1	20.3	20.5	17.9	16.8	16.7	18.2
Industry, building, energy, water	218.9	238.9	248.3	240.7	175.7	187.5	191.2	187.0
Trade, transport, communications	80.6	88.4	93.9	94.8	58.8	62.5	63.5	63.8
Other services	94.6	106.5	119.0	128.5	57.1	60.0	62.7	65.0
Gross domestic product at market prices	414.6	453.8	481.5	484.4	309.4	326.8	334.2	333.9

Source: Wirtschaft und Statistik and OECD Statistical Questionnaire.
NOTE Figures may not add up due to rounding.

Table B **Distribution of National Income**
DM billion, current prices

	1964	1965	1966	1967
Compensation of employees	204.4	225.8	243.0	243.5
Wages and salaries	183.4	202.7	217.5	217.5
Employers' social security contributions	21.0	23.1	25.5	26.0
Interest, rent, dividends paid to households[1]	90.2	97.6	99.8	
Savings of corporations	5.4	5.1	5.5	
Direct taxes on corporations	11.2	11.2	10.8	
Government income from property and entrepreneurship	7.8	8.4	8.9	9.2
Less: Interest on public debt	2.4	2.7	3.4	4.3
National income at factor cost	316.5	345.4	364.5	361.6

1 Net of interest on consumers' debt.
Source : OECD Statistical Questionnaire, Wirtschaft und Statistik Heft 2, 1968.
NOTE Figures may not add up due to rounding.

Table C **Employment and Labour Market**
Thousands

	1964	1965	1966	1967	1966 I	1966 II	1966 III	1966 IV	1967 I	1967 II	1967 III	1967 IV
Labour force	27 148	27 300	27 243	26 751	27 176	27 317	27 303	27 210	26 893	26 720	26 679	26 714
Employment, total	26 979	27 153	27 082	26 292	26 961	27 207	27 196	26 965	26 303	26 237	26 310	26 318
German nationals	26 076	26 034	25 838		25 728	25 893	25 883	25 859	25 248	25 213	25 319	
Foreign nationals[1]	903	1 119	1 244		1 233	1 314	1 313	1 106	1 055	1 024	991	
Self-employed, and family workers	5 432	5 312	5 212	5 112	5 240		5 179		5 130		5 094	
Wage and salary earners	21 547	21 841	21 870	21 180	21 839		21 901		21 140		21 220	
Wage and salary earners in manufacturing and building	9 447	9 629	9 568	8 932	9 538	9 696	9 650	9 389	8 945	8 920	8 949	8 912
of which: Basic materials	1 770	1 804	1 771	1 670	1 769	1 792	1 784	1 737	1 673	1 671	1 675	1 661
Investment goods	3 508	3 629	3 617	3 385	3 632	3 649	3 630	3 559	3 449	3 373	3 359	3 361
Consumer goods	2 006	2 032	2 040	1 902	2 050	2 060	2 041	2 007	1 949	1 899	1 880	1 882
Food, drinks, tobacco	522	520	521	507	514	516	529	527	501	500	515	511
Building, construction	1 643	1 643	1 619	1 467	1 572	1 679	1 665	1559	1 372	1 477	1 520	1 498
Hours worked in manufacturing (million)	11 814	11 916	11 565	10 441	2 933	2 910	2 843	2 880	2 640	2 852	2 546	2 673
Hours worked in building (million)	2 908	2 800	2 793	2 475	546	791	784	672	497	671	695	612
Short-time workers	—	—	16	143	6	3	4	50	279	188	65	39
Unemployment, seasonally adjusted	169	147	161	459	127	144	174	250	383	588	584	465
Vacancies, seasonally adjusted	609	649	540	302	619	581	525	372	292	296	306	316

1 Quarterly figures relate to end of quarter, annual figures are averages of end of quarters.

Sources: Statistisches Bundesamt, Main Economic Indicators, OECD.

Table D **Industrial Production, New Orders and Deliveries**
Seasonally adjusted. Indices

	Base year	1965	1966	1967	1966 I	1966 II	1966 III	1966 IV	1967 I	1967 II	1967 III	1967 IV
Production												
Industry, excl. building	1963	114.6	116.3	114.6	117.5	118.2	115.7	114.3	111.8	111.4	114.2	121.2
Mining and quarrying	—	98.9	94.7	89.6	98.1	96.4	93.7	91.1	90.2	89.4	88.7	90.1
Capital goods	—	115.3	114.1	106.6	116.6	116.7	113.4	110.8	103.7	101.9	106.4	115.3
Consumer goods[1]	—	114.0	116.8	111.6	118.8	119.6	116.9	112.6	110.0	106.3	113.1	118.1
Materials	—	120.0	125.0	128.9	124.7	126.5	124.8	124.1	125.4	127.4	127.4	135.5
Building, not seasonally adjusted	—	114.0	117.6	103.6	88 6	138.5	124.6	118.8	82.0	112.4	109.9	109.4
New orders in manufacturing[1]	1954											
Total manufacturing, all markets	—	263	263	261	267	267	260	248	244	249	260	285
domestic	—	248	240	232	248	245	237	219	215	219	231	254
foreign	—	340	385	420	361	385	389	396	400	417	424	441
Capital goods, all markets	—	336	333	328	332	343	329	311	288	314	325	370
domestic	—	321	302	288	308	315	296	271	248	273	284	335
foreign	—	377	427	455	402	430	432	430	418	451	464	475
Consumer goods, all markets	—	210	206	202	220	210	204	184	195	193	202	217
domestic	—	208	202	196	217	206	200	178	190	185	197	209
foreign	—	240	268	293	264	266	275	268	267	300	300	311
Deliveries by manufacturing[1]												
Total manufacturing, all markets	—	260	270	253	269	273	269	260	252	251	257	274
domestic	—	247	251	224	255	255	248	235	228	227	230	250
foreign	—	327	371	420	344	359	384	389	372	409	410	428
Capital goods, all markets	—	328	343	314	339	347	340	333	306	311	315	351
domestic	—	317	321	275	324	332	314	301	273	278	281	329
foreign	—	356	407	453	380	386	420	428	413	408	430	462
Consumer goods[1], all markets	—	210	216	194	222	217	220	201	208	199	204	206
domestic	—	208	213	188	220	214	217	195	203	188	199	199
foreign	—	233	265	290	251	258	271	277	275	272	293	303

1 Excluding food, drinks and tobacco.
Source: Main Economic Indicators, OECD, IFO Schnelldienst.

Table E Wages and Prices

Indices

	Base year	1964	1965	1966	1967	1966 I	1966 II	1966 III	1966 IV	1967 I	1967 II	1967 III	1967 IV
Earnings and productivity in manufacturing:													
Hourly wage rates	1962	113.8	121.8	130.9	137.8	128.5	130.4	131.8	133.0	136.9	137.6	137.9	138.6
Hourly gross earnings	—	116.4	127.3	136.7	141.9	132.0	136.8	138.8	139.1	140.2	141.5	142.7	143.3
Wage and salary earnings per hour worked	—	118.6	131.0	142.9	150.9	133.0	142.6	148.7	148.0	142.9	151.1	155.1	154.7
Output per hour worked	—	114.3	120.1	124.1	132.3	121.2	124.3	124.6	127.1	123.6	132.0	133.0	140.7
Labour cost per unit of output	—	103.8	109.1	115.1	114.0	109.7	114.7	119.3	116.5	115.7	114.5	116.6	109.9
Agricultural producer prices[1]	1961/63	107.2	114.1	109.3	105.3	115.2	113.5	111.8	111.7	109.3	106.2	103.1	102.4
Vegetable products	—	98.7	108.5	98.7	94.3	113.5	116.7	97.7	95.9	101.3	104.0	90.7	81.2
Animal products	—	110.1	115.9	112.8	108.8	115.7	112.6	116.5	117.0	111.9	106.9	107.2	109.5
Industrial producer prices, home market sales	1962	101.6	104.0	105.8	104.9	105.6	106.2	105.9	105.7	105.5	104.7	104.6	104.7
of which: Capital goods	—	102.8	105.9	108.6	108.3	107.2	108.9	109.3	108.8	108.8	108.5	108.1	108.0
Consumer goods[2]	—	101.9	104.4	106.7	107.3	106.1	106.6	106.9	107.2	107.4	107.0	107.5	107.4
Cost of dwelling construction[3]	—	110.0	114.6	118.5	115.9	116.9	119.1	119.2	118.6	117.3	116.0	115.5	114.8
Export prices, industrial goods	—	102.3	104.6	106.8	106.8	105.7	107.1	107.3	107.2	106.9	106.5	106.8	106.9
of which: Capital goods	—	103.3	106.6	109.7	110.9	108.2	109.8	110.3	110.6	111.0	110.9	110.9	110.8
Consumer goods[2]	—	102.3	104.8	108.4	110.0	106.5	107.5	109.6	109.9	109.6	110.0	110.1	110.2
Import prices, industrial goods	—	102.8	104.3	107.0	105.4	107.0	108.0	106.9	106.2	105.1	103.6	105.7	107.2
of which: Capital goods	—	104.0	106.0	109.0	107.7	108.2	108.9	109.5	109.5	108.3	107.2	107.3	107.8
Consumer goods[2]	—	98.7	97.0	99.0	101.9	100.1	98.8	98.1	99.0	98.6	99.1	104.6	105.3
The cost of living	—	105.4	109.0	112.8	114.4	111.8	113.1	112.9	113.4	114.2	114.8	114.5	114.1
Food, drinks, tobacco	—	105.0	109.0	112.0	112.0	111.7	113.2	111.6	111.6	112.2	113.3	112.0	110.6
Non-food	—	105.7	108.9	113.4	116.3	111.9	113.1	113.9	114.7	115.7	115.9	116.5	116.9
of which: Rent	—	112.1	118.5	129.7	138.2	126.2	128.9	130.8	132.9	135.8	137.8	139.2	140.2
Other	—	104.4	107.1	110.1	111.9	109.0	109.9	110.5	111.1	111.6	111.5	111.9	112.2

1 Yearly figures are weighted averages of quarterly figures (weight: sales during 1961/62-1962/63).
2 Excluding food, drinks and tobacco.
3 Data relate to the end of February, May, August and November.

Sources: Wirtschaft und Statistik; Sachverständigenrat zur Begutachtung der gesamtwirtschaftlichen Entwicklung.

Table F **The Federal Budget**
DM billion

	1963	1964	1965	1966	1967
Current revenue	53.9	59.2	63.4	67.0	68.4
direct taxes	15.4	17.2	17.5	18.8	17.6
indirect taxes	35.9	39.2	43.1	45.5	47.7
other	2.6	2.8	2.8	2.7	3.1
Current expenditure	45.8	48.4	54.7	56.4	60.4
goods and services	21.5	20.5	23.0	23.2	24.2
of which: to abroad[1]	3.8	2.3	3.6	2.3	2.3
subsidies	1.4	1.7	1.9	1.9	2.6
interest on public debt	1.1	1.2	1.2	1.4	2.0
internal debt	1.0	1.2	1.2	1.4	1.9
external debt	0.1	0.1	0.1	0.1	0.1
transfers to domestic sectors	20.9	24.0	27.4	29.3	30.6
transfers to abroad	0.9	1.0	1.1	0.6	1.0
Net current savings	8.1	10.8	8.8	10.6	8.0
Depreciation	0.2	0.2	0.2	0.2	0.2
Gross savings	8.3	11.0	8.9	10.8	8.2
Gross asset formation	3.0	3.0	3.3	3.4	3.5
Financial savings	5.3	8.0	5.6	7.4	4.7
Capital transfers	5.7	6.0	7.6	7.3	8.7
to domestic sectors	5.3	5.7	7.1	6.9	8.2
to abroad	0.4	0.3	0.5	0.4	0.5
Financial surplus (net borrowing), or deficit (net lending)	–0.4	+2.0	–2.1	+0.1	–4.0
Internally effective financial surplus or deficit	+4.8	+5.7	+3.2	+3.5	–0.1

1 Secretariat estimate.
2 Excluding purchase from abroad, transfers and interest payments to abroad.
Source: OECD submission.

Table G Money and Banking

DM million, end of period

	1963	1964	1965	1966 I	1966 II	1966 III	1966 IV	1967 I	1967 II	1967 III	1967 IV
Money circulation and official foreign reserves (DM million):											
Note and coin circulation	27 152	29 545	31 453	32 044	32 978	33 305	32 906	32 458	33 349	33 375	33 829
Sight deposits of German non-banks	46 361	48 343	50 997	48 931	50 787	48 193	50 816	48 475	50 443	52 830	58 490
Bundesbank gold and freely usable foreign assets	28 409	27 879	25 410	24 598	24 775	25 814	27 085	27 036	26 807	27 232	27 399
of which: gold	15 374	16 992	17 639	17 608	17 239	17 179	17 167	17 175	17 169	17 135	16 910
Banks' lending to and deposits from non-banks (DM million):											
Lending, total	208 917	237 898	269 972	277 112	285 458	290 807	296 156	298 245	304 478	309 820	320 656
Public authorities	32 691	39 839	46 612	48 413	49 433	50 932	53 269	55 597	57 034	58 195	61 139
Other non-banks	176 226	198 059	223 360	228 699	236 025	239 875	242 887	242 648	247 444	251 625	259 517
Short-term	54 977	60 697	67 731	69 520	72 917	72 707	72 811	70 824	72 745	73 302	75 366
Medium-term	21 003	23 418	27 628	28 970	30 515	31 845	32 933	32 975	33 740	33 525	34 573
Long-term	132 937	153 783	174 613	178 622	182 026	186 255	190 412	194 446	197 993	202 993	210 717
Deposits, total	149 659	166 419	187 475	186 376	192 426	196 037	208 896	210 845	217 061	222 066	240 884
Public authorities	22 479	22 330	22 347	21 185	22 007	22 630	23 801	24 159	24 543	25 343	26 789
Other non-banks	127 180	144 089	165 128	165 191	170 419	173 407	185 095	186 686	192 518	196 723	214 095
Short-term	43 326	46 272	50 150	45 307	48 161	46 628	49 883	46 402	48 797	50 209	57 558
Medium-term	24 811	25 935	26 647	26 675	27 214	29 412	31 901	33 126	34 117	34 909	38 655
Long-term	81 522	94 212	110 678	114 394	117 051	119 997	127 112	131 317	134 147	136 948	144 671
Bank liquidity (DM million):											
Domestic liquid assets[1]	5 839	3 991	3 214	3 077	2 625	2 331	3 928	6 668	6 380	8 521	10 328
Foreign liquid assets[2]	2 548	3 287	3 634	3 725	3 867	4 443	3 517	5 492	6 848	7 475	7 483
Total liquid holding	8 387	7 278	6 848	6 802	6 492	6 774	7 445	12 160	13 228	15 996	17 811
less: recourse to Bundesbank credit	2 089	3 450	5 488	7 920	7 812	7 055	6 280	5 511	7 255	5 903	5 679
Net liquid holdings	6 289	3 828	1 360	–1 118	–1 320	–281	1 165	6 649	5 973	10 093	12 132
Interest rates (per cent):											
Bank rate	3.0	3.0	4.0	4.0	5.0	5.0	5.0	4.0	3.0	3.0	3.0
Day-to-day money[3]	3.8	3.9	4.9	5.2	6.4	5.6	6.8	4.8	3.9	3.1	3.4
Bonds of public authorities	6.0	6.4	7.7	7.7	8.4	8.5	4.7	7.2	6.9	6.7	6.8

1 Domestic treasury bills and non-interest bearing treasury bonds, storage agency bills and prime bankers' acceptances.
2 Short-term balances with foreign banks and foreign money market paper.
3 Averages of extremes during last week of period.

Source: Monthly Report of the Deutsche Bundesbank.

Table H **Merchandise Trade by Area**
DM million, monthly averages

	Total	OECD countries					Third Countries					
		Total	EEC	EFTA	North America	Other	Europe[1]	Africa	Middle and South America	Asia	Australia and Oceania	Eastern block
						Imports cif						
1963	4 356	3 125	1 445	804	724	152	81	271	332	315	45	180
1964	4 903	3 512	1 699	891	737	185	85	369	349	326	54	201
1965	5 871	4 297	2 221	1 011	842	223	99	428	396	343	57	243
1966	6 056	4 381	2 315	996	839	231	104	481	391	371	57	263
I	6 037	4 366	2 277	1 036	804	249	92	477	384	397	64	249
II	6 083	4 414	2 376	990	837	211	108	474	415	370	55	240
III	5 877	4 205	2 269	952	783	201	107	463	396	355	66	276
IV	6 226	4 539	2 336	1 007	932	264	109	509	371	363	42	285
1967	5 849	4 223	2 303	916	792	212	90	481	370	376	51	251
I	5 482	3 918	2 163	859	691	205	91	483	343	377	45	217
II	5 820	4 257	2 302	890	894	171	81	465	391	346	44	229
III	5 631	4 013	2 214	856	753	190	87	413	412	391	56	252
IV	6 461	4 702	2 533	1 059	829	281	100	563	333	389	60	307
						Exports fob						
1963	4 859	3 777	1 813	1 316	394	254	105	217	240	301	53	151
1964	5 410	4 173	1 969	1 474	450	280	126	250	259	331	59	193
1965	5 971	4 572	2 102	1 612	543	315	145	271	279	395	67	223
1966	6 719	5 179	2 440	1 692	675	372	158	272	322	423	68	276
I	6 319	4 905	2 341	1 610	589	365	141	264	297	412	66	213
II	6 541	5 076	2 405	1 691	616	364	161	245	304	399	74	261
III	6 630	5 082	2 373	1 648	713	348	150	264	339	416	67	290
IV	7 386	5 654	2 642	1 819	781	412	180	315	346	466	65	339
1967	7 254	5 532	2 667	1 719	732	414	185	304	342	429	76	365
I	6 926	5 263	2 563	1 654	648	398	173	308	312	436	65	349
II	7 300	5 595	2 726	1 752	689	428	193	302	334	404	75	378
III	6 896	5 223	2 490	1 631	706	396	181	281	360	388	85	356
IV	7 893	6 048	2 889	1 838	886	435	194	325	363	486	78	376

1 Excluding Eastern Bloc countries.
Source: Aussenhandel Reihe 1.

Table I **Merchandise Trade by Commodity Groups**
DM million, monthly averages

	1964	1965	1966	1967	1966 I	1966 II	1966 III	1966 IV	1967 I	1967 II	1967 III	1967 IV
						Imports cif						
Products of agriculture, forestry and fishing	1 023	1 161	1 182	1 095	1 244	1 214	1 104	1 166	1 016	1 131	1 050	1 181
Basic materials and semi-finished goods	1 904	2 140	2 203	2 254	2 133	2 242	2 231	2 206	2 053	2 132	2 270	2 560
Manufactured foods and tobacco	418	520	550	527	559	502	541	597	517	506	487	596
Other consumer manufactures	594	746	808	688	851	781	822	778	728	634	671	721
Investment goods	704	924	1 024	1 004	1 046	1 073	930	1 046	975	1 055	851	1 135
Other imports	260	380	289	281	204	271	249	433	193	362	302	268
Total	4 903	5 871	6 056	5 849	6 037	6 083	5 877	6 226	5 482	5 820	5 631	6 461
						Exports fob						
Products of agriculture, forestry and fishing	57	65	65	73	74	60	52	76	77	68	62	84
Basic materials and semi-finished goods	1 665	1 844	2 076	2 293	1 945	2 028	2 096	2 232	2 209	2 310	2 187	2 467
Manufactured foods and tobacco	101	125	129	164	123	125	128	141	147	170	154	185
Other consumer manufactures	543	603	682	736	653	644	699	732	696	712	742	794
Investment goods	2 965	3 240	3 655	3 870	3 418	3 566	3 553	4 081	3 685	3 918	3 635	4 240
Other exports	79	94	112	118	106	118	102	124	112	122	116	123
Total	5 410	5 971	6 719	7 254	6 319	6 541	6 630	7 386	6 926	7 300	6 896	7 893

Source: **Aussenhandel Reihe 1.**

Table J The Balance of Payments
$ million

	1964	1965	1966	1967*p*
Trade balance	2 386	1 278	2 932	5 289
Exports fob	16 197	17 870	20 097	21 701
Imports fob	13 758	16 630	17 215	16 505
Merchandise transactions abroad	–53	38	50	93
Services, net	–1 019	–1 290	–1 259	–1 328
Foreign travel, net	–494	–642	–776	–661
Transportation, net	–275	–189	–133	–209
Investment income, net	–423	–478	–403	–499
Receipts from foreign troops	1 056	1 042	1 240	1 315
Other services, net	–883	–1 023	–1 187	–1 274
Transfers, net	–1 311	–1 595	–1 566	–1 568
Official, net	–781	–875	–734	–813
Private, net	–530	–720	–832	–755
of which: foreign worker remittances	–390	–548	–632	–544
Current balance	56	–1 607	107	2 393
Long-term capital, net[1]	–178	238	57	–855
Official, net[1]	–270	–319	–365	–329
Private, net	92	557	422	–526
Foreign investment in Germany, net	597	1 045	1 053	308
Fixed interest securities, net	1	26	–32	–209
Equities, net	141	175	220	161
Business participations, net	189	443	311	340
Loans and credits, net	291	432	585	48
Other, net	–25	–31	–31	–32
German investment abroad, net	–505	–488	–631	–834
Fixed interest securities, net	–122	–98	–131	–105
Equities, net	–87	–164	–224	–368
Business participations, net	–114	–102	–117	–100
Loans and credits, net	–140	–71	–109	–215
Other, net	–42	–53	–50	–46
Basic balance	–122	–1 369	164	1 538
Non-monetary short-term capital	–196	474	385	–351
Errors and omissions	452	625	167	–257
Balance on non-monetary transactions	134	–270	716	930
Private monetary instit. short-term capital	13	–47	–97	–804
Assets	–177	–80	5	–1 101
Liabilities	190	33	–102	297
Balance on official settlements	147	–317	619	126
Net IMF position	–361	–164	–180	205
Special transactions	—	–116[2]	–119[3]	—
Miscellaneous official accounts	81	–19	98	–2
Change in reserves (+ = increase)[4]	–133	–616	418	329
a) Gold	404	162	–118	–64
b) Convertible foreign exchange	–931	–702	786	143
c) Other assets[4]	394	–76	–250	250

1 Excluding special transactions.
2 Special deposits with the Bank of England.
3 Including prepayment of pre-war government debt to BIS.
4 Including Roosa Bonds.
p Preliminary.

Source: Monthly Report of the Deutsche Bundesbank.

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